Tiananmen Square protests and domestic and international political turmoil it was confronting. The initial agreement effectively recognized a Line of Actual Control (LAC), created a mechanism to resolve continuing differences as to where the LAC lay, limited troop levels, required the prior notification of military exercises, partly insulated the bilateral relationship from the boundary dispute, and committed both sides to not use force to settle the issue. In 1996, an Agreement on Military Confidence-Building Measures was signed as a follow-up, which reduced military forces, forbade military exercises larger than one division near the LAC, and requested prior notification for exercises larger than one brigade. [12] These were subsequently followed up by agreements in 2003 that established Special Representatives for the border, and a series of agreements in 2005, 2012, and 2013 to manage border frictions.

After Look East, Israel, the United States, and China, perhaps the most significant legacy of Rao's tenure was in the nuclear sphere. This was prompted primarily by international conditions. In May 1995, the United States and most of the international community proposed to extend the Nuclear Non-Proliferation Treaty (NPT) indefinitely. From India's standpoint, this created a permanent system of nuclear 'haves' and 'have nots'. Just as worrying for New Delhi was that the NPT conference of 1995 also pledged to conclude a Comprehensive Test Ban Treaty (CTBT) no later than 1996 and initiate negotiations towards a ban on fissile material production for explosive devices. These steps would have permanently closed off the nuclear option for India, while legitimizing the nuclear arsenals of China and the other four nuclear weapon states in perpetuity. That same year, the United States considered watering down sanctions on Pakistan for its proliferation activities, adding to concerns in India about the need for a nuclear deterrent. Nuclear tests were now urgently required to perfect and demonstrate its technology and confirm India's nuclear deterrent.

By August 1995, preparations for a nuclear test site at Pokhran were underway. Under scientists A.P.J. Abdul Kalam (India's future president) and R. Chidambaram, India finalized weapon designs. In December, the